Your Pension Insights

A RETIREMENT PLANNING GUIDE

How to Maximise Your Retirement

Building a pension pot is only half the story. This guide sets out how a considered income strategy can make your retirement more predictable, more flexible and more resilient, for the lifestyle you actually want to keep.

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The pot is only half the story

Most people spend their working lives focused on a single number: the size of their pension pot. It dominates statements, forecasts and conversations. Far fewer give the same attention to the question that actually decides the quality of their retirement, which is **how that pot converts into reliable, sustainable income**.

Two people can retire with identical savings and end up with very different retirements. The difference comes from how and when they draw their money, how it is structured across tax wrappers, and how resilient the plan is when markets move.

With the right structure, retirement income can be made more predictable, more flexible in the years it matters most, and better aligned to the life you intend to lead across what may be a thirty-year horizon.

Everyone's circumstances differ, so nothing here is a personal recommendation. But a handful of principles consistently make a material difference, and understanding them is the first step.

30 yrs

A retirement today may need to fund three decades of income.

25%

Of most pensions can usually be taken as tax-free cash, but timing is everything.

40%

The rate at which inheritance tax can apply to an unplanned estate.

Five ways to strengthen your retirement income

01

Use your tax-free allowances deliberately.

Each tax year you can receive a portion of income free of tax. Structuring withdrawals around the allowances available to you, rather than drawing at random, can help your capital last materially longer.

02

Plan how, and when, you access your pension.

You can usually take up to 25% of your pension as tax-free cash, but timing is decisive. When you begin drawing, and how you phase it, influences both sustainability and the tax you pay over a lifetime.

03

Use ISAs for flexibility.

ISA withdrawals are tax-free and sit outside the pension framework. Alongside a pension they can supplement income in higher-spending years and give room to manoeuvre when tax efficiency matters most.

04

Structure investments by purpose.

Different structures offer different levels of access, tax treatment and control. Matching the right wrapper to the right job, whether income, growth or legacy, improves both flexibility and efficiency.

05

Sequence your income sources carefully.

Drawing from pensions, ISAs and other assets in a considered order, rather than emptying one before touching the next, can materially affect how long your money lasts.

When to start planning

The decisions with the greatest impact are rarely made in the final months before retirement. The earlier a strategy is in place, the more options remain open.

10+ YEARS BEFORE

Build with the end in mind.

Make the most of contributions and reliefs while time is on your side, and begin shaping how savings are structured across wrappers.

5 YEARS BEFORE

Define the retirement you want.

Translate lifestyle goals into a target income, stress-test it, and start aligning investments to the income you will soon need to draw.

2 YEARS BEFORE

Prepare the transition.

Settle your tax-free cash approach, plan the sequence of withdrawals, and reduce exposure to a badly timed market fall.

AT RETIREMENT

Switch on income efficiently.

Draw in the right order and structure, making full use of allowances from day one.

IN RETIREMENT

Review, adjust, protect.

Revisit the plan as markets, tax rules and circumstances evolve, and keep legacy intentions on track.

What good looks like

THE SCENARIO Consider a couple, both 62, with a combined pension of £600,000, ISAs of £120,000 and a modest cash reserve. They want a comfortable, inflation-protected income of around £40,000 a year, and to leave something behind for their children.

WITHOUT A STRATEGY

— Income drawn from the pension first, triggering avoidable income tax.

— Tax-free allowances left unused year after year.

— A poor run of markets early on erodes the pot faster than expected.

— More of the estate exposed to tax than necessary.

WITH A CONSIDERED PLAN

✓ Income blended from ISAs and pension to use allowances fully each year.

✓ Tax-free cash phased rather than taken all at once.

✓ A cash buffer avoids selling investments in a downturn.

✓ The pension retained where possible for a more efficient legacy.

THE DIFFERENCE Same savings, a very different result. Thoughtful structure and sequencing, not luck, is what helps income last longer and pass on more.

This is a simplified, illustrative example for guidance only. It is not a personal recommendation, and outcomes depend on individual circumstances and prevailing tax rules.

Common mistakes to avoid

1. **Taking all the tax-free cash on day one.**
It feels like the reward for decades of saving, but withdrawing the full 25% immediately can remove flexibility and tax efficiency you would value later.

2. **Drawing income in the wrong order.**
Emptying one pot before touching another is simple, but rarely efficient. The sequence you draw from can add years to how long your money lasts.

3. **Underestimating how long retirement lasts.**
Planning for twenty years when you may need thirty leaves income stretched thin later, often when care or health costs rise.

4. **Selling investments in a downturn.**
Drawing income from falling markets locks in losses. A cash buffer and the right sequencing help you avoid being a forced seller.

5. **Leaving it until retirement to plan.**
The most valuable decisions are made in the years before you stop work. Waiting until the finish line closes doors that were open.

> **The reassuring part:** every one of these is avoidable. Each comes down to planning ahead and getting the right guidance at the right time.

Passing on more of what you have built

Inheritance tax can take up to 40% of the value of an estate above the available thresholds. With early, considered planning, much of that exposure can often be reduced, so more of your wealth reaches the people and causes you care about.

Know your thresholds.

Understand the nil-rate band and the residence nil-rate band. Unused allowance can usually pass between spouses and civil partners, potentially sheltering a significant sum.

Make use of gifting.

Annual exemptions, gifts out of surplus income and potentially exempt transfers can steadily move value out of your estate during your lifetime.

Consider trusts.

Used carefully, trusts can help control when and how wealth passes to the next generation, while potentially placing assets outside your taxable estate.

Align pensions with legacy.

Pensions can be an efficient way to pass on wealth. How and when you draw them, with legacy in mind, can protect more for your beneficiaries.

Trusts and some forms of estate planning are complex areas. Certain elements, including trust and tax planning, are not regulated by the Financial Conduct Authority. The levels and bases of taxation and reliefs from taxation can change and depend on individual circumstances.

TAKE STOCK · 07

Your retirement income checklist

A quick way to gauge how ready your plan is. If you cannot confidently tick every box, it may be worth a conversation.

- [ ] I know the annual income I'll need to fund the retirement lifestyle I want.
- [ ] I have a plan for which accounts I'll draw from, and in what order.
- [ ] I'm making full use of my tax-free allowances each year.
- [ ] I have a strategy for taking my tax-free cash, not just taking it all at once.
- [ ] My investments are structured for income, not just growth.
- [ ] I hold a cash buffer so I'm not forced to sell in a market downturn.
- [ ] I have considered how inheritance tax may affect my estate.
- [ ] My plan reflects my legacy wishes and is reviewed regularly.

Ticked fewer than you would like? That is precisely what a retirement review is for.

Where education ends and advice begins

Everything in this guide is general education. It cannot take account of your circumstances, your objectives or your attitude to risk, and it is not a personal recommendation.

If you would like your own situation looked at properly, we can introduce you to an independent financial adviser firm that is authorised and regulated by the Financial Conduct Authority. We will tell you which firm. There is no charge to you for the introduction and no obligation to proceed.

01

Tell us where you are.

A short conversation about what you are trying to work out.

02

We make one introduction.

To a single FCA-authorised firm suited to your situation, never a panel.

03

You decide.

They agree any fees with you directly before doing chargeable work.

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IMPORTANT INFORMATION

The small print, in plain terms

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The value of investments and any income from them can fall as well as rise, and you may get back less than you invested. Past performance is not a guide to future performance.

Tax treatment depends on your individual circumstances and may change in future. Pension rules and allowances change from time to time and the content of this guide may become out of date.

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